

Extended Declarations Page



ISSUED BY: . **Homeland Insurance Company of New York**
NAMED INSURED: **Nicotine River, LLC**
POLICY NUMBER: **793-00-93-92-0004**
POLICY PERIOD: **07/02/2023 - 07/02/2026**

STATE SURPLUS LINES REQUIRED WORDING:

IMPORTANT NOTICE:

1. The insurance policy that you have purchased is being issued by an insurer that is not licensed by the State of California. These companies are called “nonadmitted” or “surplus line” insurers.
2. The insurer is not subject to the financial solvency regulation and enforcement that apply to California licensed insurers.
3. The insurer does not participate in any of the insurance guarantee funds created by California law. Therefore, these funds will not pay your claims or protect your assets if the insurer becomes insolvent and is unable to make payments as promised.
4. The insurer should be licensed either as a foreign insurer in another state in the United States or as a non-United States (alien) insurer. You should ask questions of your insurance agent, broker, or “surplus line” broker or contact the California Department of Insurance at the toll-free number 1-800-927-4357 or internet website www.insurance.ca.gov. Ask whether or not the insurer is licensed as a foreign or non-United States (alien) insurer and for additional information about the insurer. You may also visit the NAIC’s internet website at www.naic.org. The NAIC—the National Association of Insurance Commissioners—is the regulatory support organization created and governed by the chief insurance regulators in the United States.
5. Foreign insurers should be licensed by a state in the United States and you may contact that state’s department of insurance to obtain more information about that insurer. You can find a link to each state from this NAIC internet website: https://naic.org/state_web_map.htm.
6. For non-United States (alien) insurers, the insurer should be licensed by a country outside of the United States and should be on

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STATE SURPLUS LINES REQUIRED WORDING:

the NAIC's International Insurers Department (IID) listing of approved nonadmitted non-United States insurers. Ask your agent, broker, or "surplus line" broker to obtain more information about that insurer.

7. California maintains a "List of Approved Surplus Line Insurers (LASLI)." Ask your agent or broker if the insurer is on that list, or view that list at the internet website of the California Department of Insurance: www.insurance.ca.gov/01-consumers/120-company/07-lasli/lasli.cfm.

8. If you, as the applicant, required that the insurance policy you have purchased be effective immediately, either because existing coverage was going to lapse within two business days or because you were required to have coverage within two business days, and you did not receive this disclosure form and a request for your signature until after coverage became effective, you have the right to cancel this policy within five days of receiving this disclosure. If you cancel coverage, the premium will be prorated and any broker's fee charged for this insurance will be returned to you.

U.S. TREASURY DEPARTMENT'S OFFICE OF FOREIGN ASSETS CONTROL ("OFAC") ADVISORY NOTICE TO POLICYHOLDERS

No coverage is provided by this Policyholder Notice nor can it be construed to replace any provisions of your policy. You should read your policy and review your Declarations page for complete information on the coverages you are provided.

This Notice provides information concerning possible impact on your insurance coverage due to directives issued by OFAC. **Please read this Notice carefully.**

The Office of Foreign Assets Control (OFAC) administers and enforces sanctions policy, based on Presidential declarations of "national emergency". OFAC has identified and listed numerous:

- Foreign agents;
- Front organizations;
- Terrorists;
- Terrorist organizations; and
- Narcotics traffickers;

as "Specially Designated Nationals and Blocked Persons". This list can be located on the United States Treasury's web site – <http://www.treas.gov/ofac>.

In accordance with OFAC regulations, if it is determined that you or any other insured, or any person or entity claiming the benefits of this insurance has violated U.S. sanctions law or is a Specially Designated National and Blocked Person, as identified by OFAC, this insurance will be considered a blocked or frozen contract and all provisions of this insurance are immediately subject to OFAC. When an insurance policy is considered to be such a blocked or frozen contract, no payments nor premium refunds may be made without authorization from OFAC. Other limitations on the premiums and payments also apply.



Homeland Insurance Company of New York
100 Woodbury Road, Suite 403
Woodbury, New York 11797
(516) 682-2100

*A Stock Company

Environmental Premises Liability

Common Policy Declarations

Named Insured and Mailing Address

Nicotine River, LLC
2535 Conejo Spectrum Street, Building 4
Thousand Oaks, CA 91320

Policy Number

793-00-93-92-0004

In return for the payment of the premium, and subject to all terms of this policy, we agree with you to provide the insurance as stated in this policy.

Policy Period: July 02, 2023 **to:** July 02, 2026
At 12:01 A.M. Standard Time at your mailing address shown above.

Producer:

AmWINS Insurance Brokerage, LLC
725 S. Figueroa Street, 19th Floor
Los Angeles, CA 90017

Total Premium:

At Inception: \$16,566

Forms applicable to this Policy:

See OBENV EP 001 (10 20), Schedule 1

ENV EP 001 (10 20)	California Premium:	\$	16,566.00
	Amwins Service Fee:	\$	250.00
	Market Policy Fee:	\$	
	Market Inspection Fee:	\$	
	Surplus Lines Tax:	\$	496.98
	Stamping Fee:	\$	29.82

COMMON POLICY DECLARATIONS

In Witness Whereof, we have caused this policy to be executed and attested, and, if required by state law, this policy shall not be valid unless countersigned by our authorized representative.



Secretary



President

**COMMON POLICY DECLARATIONS
PREMIUM STATEMENT**

Named Insured:
Nicotine River, LLC
2535 Conejo Spectrum Street, Building 4
Thousand Oaks, CA 91320

Producer:
AmWINS Insurance Brokerage, LLC
725 S. Figueroa Street, 19th Floor
Los Angeles, CA 90017

Premium Statement for the period from: July 02, 2023 to July 02, 2026

This policy consists of the following coverage parts for which a premium is indicated. This premium may be subject to adjustment.

COVERAGE SECTION	PREMIUM
	At Inception
Environmental Premises Liability	\$16,566
Terrorism Insurance Coverage	NOT COVERED
Total Policy Premium	\$16,566

Miminum Earned Premium

This policy is subject to a Minimum Earned Premium of 25% of the Total Policy Premium shown in the Declarations. The Minimum Earned Premium is the least amount of premium we shall retain as earned premium, regardless of the policy term.

Rate

Flat - Not Auditable

Covered Locations **Intended Use**

SCHEDULE 1

Effective 07/02/2023, this schedule forms part of Policy No. 793-00-93-92-0004 (at the time stated in the Policy).

Issued to: Nicotine River, LLC

Producer: AmWINS Insurance Brokerage, LLC

By: Homeland Insurance Company of New York

Common Policy Declarations, OBENV EP 001 (10 20), Continued:

Forms Applicable to this Policy:

IL P 001 01 04 US Treasury Department's Office of Foreign Assets Control (OFAC) Advisory Notice to Policyholders
OBENV EP 001 (10 20) Common Policy Declarations
ENV EPL 102 (12 15) Environmental Premises Liability Coverage Form I
ENV EPL 204 (12 15) Additional Insured - Designated Person or Organization
ENV EPL 206 (12 15) Additional Named Insured
ENV EPL 224 (12 15) Covered Location Schedule
ENV EPL 264 (02 17) Crisis Management Coverage Endorsement
ENV EPL 265 (08 16) Service of Suit
ENV EPL 267 (05 17) Business Income and Extra Expense Coverage Endorsement
ENV EPL 274 (08 20) Communicable Disease from Declared Pandemic Exclusion
OBENV GE 402 (04 14) Environmental Claims Reporting Notice
OBENV TR 400 (01 15) Exclusion of Certified Acts of Terrorism and Exclusion of Other Acts of Terrorism

LIABILITY COVERAGE PART DECLARATIONS

This policy consists of the following coverages for which a limit of insurance is indicated.

This policy consists of the following coverage for which a Retroactive Date may be applicable.

Limits of Insurance

COVERAGE: Environmental Premises Liability (Claims-Made and Reported Coverage)

Policy Aggregate Limit: \$1,000,000

(If NOT COVERED appears for a Coverage Part shown below, then coverage is not provided for that Coverage Part.)

<u>Coverage Part</u>	<u>Coverage Part Limit of Liability</u>	<u>Coverage Part Aggregate Limit</u>
A - Onsite Cleanup Costs		
A.1. First Party Discovery	\$1,000,000 each Pollution Condition	\$1,000,000
A.2. Third Party Liability	\$1,000,000 each Pollution Condition	\$1,000,000
B - Offsite Cleanup Costs		
B.1. First Party Discovery	\$1,000,000 each Pollution Condition	\$1,000,000
B.2. Third Party Liability	\$1,000,000 each Pollution Condition	\$1,000,000
C - Third Party Bodily Injury and Property Damage for Bodily Injury and Property Damage	\$1,000,000 each Pollution Condition	\$1,000,000
D - Transportation Pollution Liability		
D.1. First Party Discovery	\$1,000,000 each Pollution Condition	\$1,000,000
D.2. Third Party Liability	\$1,000,000 each Pollution Condition	\$1,000,000
E - Non-Owned Disposal Site Liability	\$1,000,000 each Pollution Condition	\$1,000,000
F - Contractors Pollution Liability		
F.1. First Party Discovery	NOT COVERED	
F.2. Third Party Liability	NOT COVERED	

<u>Coverage Part</u>	<u>Deductible</u>	<u>Coverage Part Retroactive Date</u>
A - Onsite Cleanup Costs		
A.1. First Party Discovery	\$5,000 each Pollution Condition	07/02/2018
A.2. Third Party Liability	\$5,000 each Pollution Condition	07/02/2018
B - Offsite Cleanup Costs		
B.1. First Party Discovery	\$5,000 each Pollution Condition	07/02/2018
B.2. Third Party Liability	\$5,000 each Pollution Condition	07/02/2018
C - Third Party Bodily Injury and Property Damage for Bodily Injury and Property Damage	\$5,000 each Pollution Condition	07/02/2018
D - Transportation Pollution Liability		
D.1. First Party Discovery	\$5,000 each Pollution Condition	07/02/2018
D.2. Third Party Liability	\$5,000 each Pollution Condition	07/02/2018
E - Non-Owned Disposal Site Liability	\$5,000 each Pollution Condition	07/02/2018
F - Contractors Pollution Liability		
F.1. First Party Discovery	NOT COVERED	
F.2. Third Party Liability	NOT COVERED	

Environmental Premises Liability Coverage Form I



THIS POLICY CONTAINS CLAIMS-MADE AND REPORTED COVERAGES.
PLEASE REVIEW THE POLICY THOROUGHLY.

VARIOUS PROVISIONS CONTAINED IN THIS POLICY RESTRICT COVERAGE. READ THE ENTIRE POLICY CAREFULLY TO DETERMINE RIGHTS, DUTIES AND WHAT IS AND IS NOT COVERED.

COVERAGES CONTAINED IN THIS POLICY ARE WRITTEN ON A CLAIMS-MADE AND REPORTED BASIS. UNDER THOSE COVERAGES, A CLAIM MUST BE FIRST MADE DURING THE POLICY PERIOD AND REPORTED TO THE COMPANY DURING THE POLICY PERIOD, OR DURING AN EXTENDED REPORTING PERIOD, IF APPLICABLE. DEFENSE EXPENSES, INCLUDING LEGAL EXPENSES, ARE WITHIN AND WILL REDUCE THE LIMITS OF INSURANCE AND ARE SUBJECT TO THE DEDUCTIBLE. PLEASE REVIEW THOROUGHLY.

Throughout this Policy the words *you* and *your* refer to the **named insured**. The words *we*, *us* and *our* refer to the Company providing this insurance. Other words and phrases that appear in bold have special meaning. Refer to Section **VIII**. – Definitions.

In consideration of the premium paid and in reliance upon the statements contained in the application and any other supplemental information provided to us, we agree to provide coverage as shown in the Declarations and as described herein:

I. INSURING AGREEMENTS

The following Coverage Parts apply only if a Limit of Insurance is shown in the Declarations for the particular Coverage Part. If NOT COVERED is shown in the Declarations for a particular Coverage Part, then that Coverage Part does not apply and is not part of the insurance provided under this Policy.

A. COVERAGE A – ON-SITE CLEANUP COSTS

1. First Party Discovery

We will pay the **insured** those **cleanup costs** or **emergency response costs** that the **insured** is legally obligated to pay as the result of a **pollution condition** on, at or under the legal boundary of a **covered location**, but only if:

- a. The **pollution condition** first commenced on or after the applicable Retroactive Date, if any, and before the end of the **policy period**;
- b. The **pollution condition** first becomes known by or is reported to a **responsible employee**, during the **policy period**; and
- c. The **pollution condition** is reported to us in writing by the **insured** as soon as possible during the **policy period** or any applicable Extended Reporting Period.

2. Third Party Liability

We will pay, on behalf of the **insured**, **cleanup costs** that the **insured** becomes legally obligated to pay as the result of a **claim** for **cleanup costs** resulting from a **pollution condition** on, at or under the legal boundary of a **covered location**, but only if:

- a. The **pollution condition** first commenced on or after the applicable Retroactive Date, if any, and before the end of the **policy period**;

- b. The **claim** is first made against the **insured** during the **policy period**; and
- c. The **claim** is reported to us in writing by the **insured** as soon as possible during the **policy period** or any applicable Extended Reporting Period.

B. COVERAGE B – OFF-SITE CLEANUP COSTS

1. First Party Discovery

We will pay the **insured** those **cleanup costs** or **emergency response costs** that the **insured** is legally obligated to pay as the result of a **pollution condition** that migrates beyond the legal boundary of a **covered location**, but only if:

- a. The **pollution condition** first commenced on or after the applicable Retroactive Date, if any, and before the end of the **policy period**;
- b. The **pollution condition** first becomes known by or is reported to a **responsible employee**, during the **policy period**; and
- c. The **pollution condition** is reported to us in writing by the **insured** as soon as possible during the **policy period** or any applicable Extended Reporting Period.

2. Third Party Liability

We will pay, on behalf of the **insured**, **cleanup costs** that the **insured** becomes legally obligated to pay as the result of a **claim** for **cleanup costs** resulting from a **pollution condition** that migrates beyond the legal boundary of a **covered location**, but only if:

- a. The **pollution condition** first commenced on or after the applicable Retroactive Date, if any, and before the end of the **policy period**;
- b. The **claim** is first made against the **insured** during the **policy period**; and
- c. The **claim** is reported to us in writing by the **insured** as soon as possible during the **policy period** or any applicable Extended Reporting Period.

C. COVERAGE C – THIRD PARTY LIABILITY CLAIMS FOR BODILY INJURY AND PROPERTY DAMAGE

We will pay, on behalf of the **insured**, **loss** that the **insured** becomes legally obligated to pay as the result of a **claim** for **bodily injury** or **property damage** resulting from a **pollution condition** on, at, under or that migrates beyond the legal boundary of a **covered location**, but only if:

- 1. The **pollution condition** first commenced on or after the applicable Retroactive Date, if any, and before the end of the **policy period**;
- 2. The **claim** is first made against the **insured** during the **policy period**; and
- 3. The **claim** is reported to us in writing by the **insured** as soon as possible during the **policy period** or any applicable Extended Reporting Period.

D. COVERAGE D – TRANSPORTATION POLLUTION LIABILITY

1. First Party Discovery

We will pay the **insured** those **cleanup costs** or **emergency response costs** that the **insured** is legally obligated to pay as the result of a **pollution condition** that occurred during the course of **transportation of cargo**, but only if:

- a. The **pollution condition** first commenced on or after the applicable Retroactive Date, if any, and before the end of the **policy period**;
- b. The **pollution condition** first becomes known by or is reported to a **responsible employee**, during the **policy period**; and
- c. The **pollution condition** is reported to us in writing by the **insured** as soon as possible during the **policy period** or any applicable Extended Reporting Period.

2. Third Party Liability

We will pay, on behalf of the **insured**, **cleanup costs** or **loss** that the **insured** becomes legally obligated to pay as the result of a **claim** for **cleanup costs**, **bodily injury** or **property damage** resulting from a **pollution condition** that occurred during the course of **transportation of cargo**, but only if:

- a. The **pollution condition** first commenced on or after the applicable Retroactive Date, if any, and before the end of the **policy period**;
- b. The **claim** is first made against the **insured** during the **policy period**; and
- c. The **claim** is reported to us in writing by the **insured** as soon as possible during the **policy period** or any applicable Extended Reporting Period.

E. COVERAGE E – NON-OWNED DISPOSAL SITE LIABILITY

We will pay, on behalf of the **insured**, **cleanup costs** or **loss** that the **insured** becomes legally obligated to pay as the result of a **claim** for **cleanup costs**, **bodily injury** or **property damage** resulting from a **pollution condition** on, at, under or that migrates beyond the legal boundary of a **non-owned disposal site**, but only if:

1. The **pollution condition** first commenced on or after the applicable Retroactive Date, if any, and before the end of the **policy period**;
2. The **claim** is first made against the **insured** during the **policy period**; and
3. The **claim** is reported to us in writing by the **insured** as soon as possible during the **policy period** or any applicable Extended Reporting Period.

F. COVERAGE F – CONTRACTORS POLLUTION LIABILITY

1. First Party Discovery

We will pay the **insured** those **emergency response costs** that the **insured** is legally obligated to pay as the result of a **pollution condition** that occurred during **contracting operations**, but only if:

- a. The **pollution condition** first commenced on or after the applicable Retroactive Date, if any, and before the end of the **policy period**;
- b. The **pollution condition** first becomes known by or is reported to a **responsible employee**, during the **policy period**; and

- c. The **pollution condition** is reported to us in writing by the **insured** as soon as possible during the **policy period** or any applicable Extended Reporting Period.

2. Third Party Liability

We will pay, on behalf of the **insured**, **cleanup costs** or **loss** that the **insured** becomes legally obligated to pay as the result of a **claim** for **cleanup costs**, **bodily injury** or **property damage** resulting from a **pollution condition** that occurred during **contracting operations**, but only if:

- a. The **pollution condition** first commenced on or after the applicable Retroactive Date, if any, and before the end of the **policy period**;
- b. The **claim** is first made against the **insured** during the **policy period**; and
- c. The **claim** is reported to us in writing by the **insured** as soon as possible during the **policy period** or any applicable Extended Reporting Period.

Under all Coverage Parts, a **claim** will be deemed to have been made when notice of such **claim** is received by any **insured**.

II. EXCLUSIONS

A. General Exclusions – Applicable to all Coverages

The following Exclusions apply to all Coverages:

This insurance does not apply to any:

1. Asbestos Or Lead Paint

Claim, loss, defense expenses, bodily injury, property damage, cleanup costs or emergency response costs based on or arising out of asbestos, lead-based paint or any material containing asbestos or lead-based paint, in, on, or applied to any structure at a **covered location**.

This exclusion does not apply to **cleanup costs** incurred to clean up soil, groundwater or any other water body at a **covered location** if contaminated by asbestos, lead-based paint or any material containing asbestos or lead-based paint.

2. Change In Intended Use At A Covered Location

Claim, loss, defense expenses, bodily injury, property damage, cleanup costs or emergency response costs based on or arising out of a change in the use or operations at a **covered location** during the **policy period** that is different from any use or operation scheduled on this Policy as shown in the Declarations or by endorsement.

3. Contractual Liability

Liability of others for any **pollution condition, loss, defense expenses, bodily injury, property damage, cleanup costs or emergency response costs** where assumed by the **insured** under any contract or agreement, unless the liability of the **insured** would exist in absence of such contract or agreement.

This exclusion does not apply to the liability of others assumed in a contract or agreement by the **insured** that is an **insured contract**, but only if the **pollution condition, loss, defense expenses, bodily injury, property damage, cleanup costs or emergency response costs** occurred subsequent to the execution of the **insured contract**.

4. Criminal Fines, Penalties Or Assessments

Criminal fines, penalties or assessments.

5. Divested Property

Claim, loss, defense expenses, bodily injury, property damage, cleanup costs or emergency response costs based on or arising out of a **pollution condition** at a **covered location**, if the **pollution condition** commences after the date the **covered location** is sold, given away, or otherwise transferred or abandoned by an **insured**, or is condemned.

6. Employer's Liability

Bodily injury to:

- a. An employee of any **insured** arising out of and in the course of employment by any **insured**; or
- b. An employee of any **insured** arising out of and in the course of performing duties related to the conduct of any **insured's** business; or
- c. The spouse, child, parent, brother or sister of that employee as a consequence of Paragraphs **a.** and **b.** above.

This exclusion applies whether an **insured** may be liable as an employer or in any other capacity and to any obligation to share damages with or repay someone else who must pay damages because of the injury.

This exclusion does not apply to liability assumed by any **insured** under an **insured contract**.

7. Enhancements, Improvements, Maintenance or Upgrades

Costs, charges or expenses for enhancements, improvements, maintenance to or upgrades of any property or processes on, at or under a **covered location** even if such enhancement, improvement, maintenance or upgrade is required by **environmental law**.

8. Insured vs. Insured

Claim made by, or on behalf of, an **insured** against any other **insured** under this Policy.

9. Insured's Costs Or Expenses

Costs or expenses, including **cleanup costs**, incurred by any **insured** for materials or services performed for any **insured**, unless all **insureds** have our prior written consent to incur such costs or expenses.

This exclusion does not apply to **emergency response costs**.

10. Intentional Non-Compliance

Claim, loss, defense expenses, bodily injury, property damage, cleanup costs or emergency response costs based on or arising out of any **responsible employee's** intentional disregard of, or deliberate, willful or dishonest non-compliance with any law, statute, regulation, ordinance or other legal requirement, or with any administrative complaint, notice of violation, notice letter, instruction or order by or on behalf of any government agency or representative of a federal, state, provincial, tribal or local governing organization.

11. Known Pollution Conditions

Claim, loss, defense expenses, bodily injury, property damage, cleanup costs or emergency response costs based on or arising out of any **pollution condition** that:

- a. Occurred prior to the **policy period** or, for a **covered location** endorsed onto this Policy after inception, prior to the effective date of coverage for that **covered location**; and
- b. Was known by or was reported to a **responsible employee** prior to the **policy period** or prior to the effective date of coverage for such **covered location**.

Any continuation, change or resumption of such **pollution condition** during the **policy period** will be deemed to have been known by a **responsible employee** prior to the **policy period** or prior to the effective date of coverage for such **covered location**.

12. Mold

Claim, loss, defense expenses, bodily injury, property damage, cleanup costs or emergency response costs based on or arising out of **mold**.

13. Nuclear Liability

Claim, loss, defense expenses, bodily injury, property damage, cleanup costs or emergency response costs based on or arising out of any nuclear or radioactive materials or by-products where any **insured** under this Policy:

- a. Has been indemnified by the United States Department of Energy or any other governmental authority;
- b. Is also an insured under a nuclear energy liability policy issued by the Nuclear Energy Liability Insurance Association, Mutual Atomic Energy Liability Underwriters or Nuclear Insurance Association of Canada, or would be an insured under any such policy but for its termination upon exhaustion of its limits of liability; or
- c. Is required to maintain financial protection pursuant to the Atomic Energy Act of 1954, or any amendment thereto, or for which the Price Anderson Act provides financial protection for such **insured**.

14. Products Liability

Claim, loss, defense expenses, bodily injury, property damage, cleanup costs or emergency response costs based on or arising out of **your product**.

This exclusion does not apply to **your product** while:

- a. Within the boundaries of a **covered location**;
- b. During **transportation**, but only if a Limit of Insurance is shown in the Declarations for **COVERAGE D – TRANSPORTATION POLLUTION LIABILITY**; or
- c. At a **non-owned disposal site**, but only if a Limit of Insurance is shown in the Declarations for **COVERAGE E – NON-OWNED DISPOSAL SITE LIABILITY**.

15. Underground Storage Tanks

Claim, loss, defense expenses, bodily injury, property damage, cleanup costs or emergency response costs based on or arising out of any **underground storage tank** at a **covered location**.

This exclusion does not apply to:

- a. Any **underground storage tank** whose existence was not known by a **responsible employee** prior to the **policy period** or, if the **covered location** was endorsed onto the Policy after inception, prior to the effective date of coverage for that **covered location**;
- b. Any storage tank that is situated in an underground area, including a basement, cellar or tunnel, if such storage tank is installed entirely above the surface of the structure's floor; or
- c. Any septic tank or oil-water separator.

16. War

Claim, loss, defense expenses, bodily injury, property damage, cleanup costs or emergency response costs based on or arising out of:

- a. War, including undeclared or civil war;
- b. Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or
- c. Insurrection, rebellion, revolution, usurped power, or action taken by governmental authority in hindering or defending against any of these.

17. Workers' Compensation And Similar Laws

Obligation of any **insured** under a workers' compensation, disability benefits or unemployment compensation law or any similar law.

B. Transportation Pollution Liability Exclusions – Applicable to Coverage D

In addition to the General Exclusions, the following Exclusions apply to **Coverage D – Transportation Pollution Liability**:

This insurance does not apply to any:

1. Property Damage to Conveyance

Property damage to any **conveyance** utilized during **transportation**.

This exclusion does not apply to a **claim** made by a **carrier** for **property damage** resulting from the **insured's** negligence during **transportation**.

2. Financial Assurance

Obligation to demonstrate financial assurance or financial responsibility, or to meet any financial assurance or financial responsibility requirements under federal, state, provincial, tribal or local law.

C. Contractors Pollution Liability Exclusions – Applicable to Coverage F

In addition to the General Exclusions, the following Exclusions apply to **Coverage F – Contractors Pollution Liability**:

This insurance does not apply to any:

1. Damage To Insured's Work or Product

Claim, loss, defense expenses, property damage, cleanup costs or emergency response costs based on or arising out of:

- a. **Your work** performed by, or on behalf, of any **insured**, or any part of that work;

- b. **Your product** or any part of it;
- c. Damage to **your work** or any part of it; or
- d. Damage to **your product** or any part of it.

2. Insured's Real Property

Claim, loss, defense expenses, bodily injury, property damage, cleanup costs or emergency response costs based on or arising out of operations or activities performed at any real property owned, rented, leased, maintained, operated or used by, or on behalf of, any **insured** or that was sold, given away or abandoned by any **insured**, or is condemned.

3. Professional Services Liability

Claim, loss, defense expenses, bodily injury, property damage, cleanup costs or emergency response costs based on or arising out of the rendering of or failure to render professional services by, or on behalf of, any **insured**, including recommendations, opinions or strategies rendered for architectural, consulting or engineering work, such as drawings, opinions, designs, maps, reports, surveys, change orders, plan specifications, assessment work, remedy selections, site maintenance, equipment selection, and supervisory, inspection or advisory services.

4. Separately Insured Project

Claim, loss, defense expenses, bodily injury, property damage, cleanup costs or emergency response costs based on or arising out of any project for which a project-specific policy has been issued by us or another insurance company.

5. Conveyances

Claim, loss, defense expenses, bodily injury, property damage, cleanup costs or emergency response costs based on or arising out of the ownership, maintenance, use or entrustment to others of any **conveyance**. Use includes operation and **transportation**.

This exclusion does not apply if the **claim, loss, defense expenses, bodily injury, property damage, cleanup costs or emergency response costs** results from the loading, unloading or movement of **cargo** from a **conveyance** while within the legal boundaries of a location where you are performing **contracting operations**.

6. Material Or Waste Disposal

Claim, loss, defense expenses, bodily injury, property damage, cleanup costs or emergency response costs based on or arising out of a **pollution condition** on, at, under or migrating from any location used to treat, process, store or dispose of material or waste.

III. LIMITS OF INSURANCE AND DEDUCTIBLE

A. Limits of Insurance

1. The Limits of Insurance shown in the Declarations or an endorsement and the rules below determine the most we will pay regardless of the number of **insureds, pollution conditions, covered locations, claims** or persons or organizations making **claims** or seeking recovery of **loss, defense expenses, cleanup costs or emergency response costs**.
2. The Policy Aggregate Limit shown in the Declarations is the most we will pay for the sum of all **cleanup costs, emergency response costs, loss and defense expenses** under all Coverage Parts provided by this Policy.

3. The Coverage Part Aggregate Limit shown in the Declarations under each Coverage Part is the most we will pay under that Coverage Part for the sum of all **cleanup costs, emergency response costs, loss and defense expenses**.
4. The Each Pollution Condition Limit shown in the Declarations under each Coverage Part is the most we will pay under that Coverage Part for the sum of all **cleanup costs, emergency response costs, loss and defense expenses** arising out of a **pollution condition**.
5. All **claims, cleanup costs, emergency response costs, loss and defense expenses** based on, attributable to, caused directly or indirectly by, arising out of, or in any way involving the same **pollution condition** or any series of continuous, repeated or related **pollution conditions** shall be subject to a single Each Pollution Condition Limit.
6. If a **pollution condition** results in coverage under more than one Coverage Part, only the single highest Each Pollution Condition Limit among all applicable Each Pollution Condition Limits will apply to all **claims, cleanup costs, emergency response costs, loss and defense expenses** arising out of that **pollution condition**.
7. The Limits of Insurance of this Policy apply to the **policy period**.

B. Deductible

1. The Limits of Insurance apply in excess of the deductible shown in the Declarations or an endorsement. Any deductible must be paid by you. We may pay any part of or the entire deductible amount to effect settlement of any **claim, loss, defense expenses, cleanup costs or emergency response costs**, and, upon notification of such a payment by us, you must promptly reimburse us for such part of the deductible amount we have paid.
2. If the deductible basis is shown as Each Pollution Condition in the Declarations or an endorsement, then the deductible applies to all **claims, loss, defense expenses, cleanup costs and emergency response costs** arising out of a **pollution condition**, regardless of the number of **insureds, covered locations, claims** or persons or organizations making **claims** or seeking recovery of **loss, defense expenses, cleanup costs or emergency response costs** arising out of that **pollution condition**.
3. If the deductible basis is shown as Each Claim in the Declarations or an endorsement, then a separate Each Claim deductible applies:
 - a. To all **loss, defense expenses and cleanup costs** in each **claim** made by a person or organization; and
 - b. To all **cleanup costs and emergency response costs** covered under Coverage Parts **A.1, B.1, D.1 or F.1** arising out of a **pollution condition**.
4. If a **pollution condition** results in coverage under more than one Coverage Part, only the highest deductible amongst all applicable Coverage Parts will apply.

IV. RELATED CLAIMS

Except for purposes of calculating Each Claim deductibles, all **claims** based on, attributable to, caused directly or indirectly by, arising out of, or in any way involving the same **pollution condition** or any series of continuous, repeated or related **pollution conditions** shall be considered a single **claim**, regardless of the number of **insureds** or persons or organizations making the **claims** or seeking recovery of **loss, defense expenses, cleanup costs or emergency response costs**.

V. REPORTING AND RELATED DUTIES

- A. You must notify us of a **pollution condition, emergency response costs or claim** in writing as soon as possible during the **policy period** in a manner described in the Claims Reporting Options Endorsement attached to this Policy. To the extent possible, notice should include:
1. A description of the **pollution condition, emergency response costs or claim**, including how, when and the location where the **pollution condition** took place;
 2. The names and addresses of all injured persons and witnesses;
 3. Any action taken by any **insured** or others to respond to the **pollution condition or claim** or to incur **emergency response costs**; and
 4. The names and contact information for persons with knowledge of the **pollution condition, emergency response costs or claim**.

If verbal notice is provided first, you must subsequently provide written notice as soon as possible during the **policy period**.

B. You must:

1. Immediately record the specifics and the date of any **claim** received by any **insured**;
 2. Immediately send us copies of any demands, notices, summonses, complaints, pleadings, correspondence or legal papers received in connection with the **pollution condition, emergency response costs or claim**;
 3. Authorize us to obtain records and other information;
 4. Assist us in the investigation and resolution of the **pollution condition, emergency response costs or claim**; and
 5. Assist us, upon our request, in the enforcement of any right against any person or organization which may be liable to any **insured** because of **cleanup costs, emergency response costs, defense expenses, or loss** to which this insurance may also apply.
- C. In the event that **emergency response costs** are incurred, you must provide notice of such **emergency response costs** and the **pollution condition** to us within 10 days of the first commencement of the **pollution condition** for which **emergency response costs** have been incurred. Such notice shall include information noted in Paragraphs **A.** and **B.** above.
- D. No **insured** will admit liability or, except at that **insured's** own cost, voluntarily make a payment, assume any obligation or incur any expense, including **loss, defense expenses or cleanup costs**, without our consent, which consent shall not be unreasonably withheld.

This Paragraph does not apply to **emergency response costs** incurred by an **insured** responding to a **pollution condition**, but only if you provide notice in accordance with Paragraph **C.** above.

VI. DEFENSE AND SETTLEMENT

- A. We have the right and duty to defend the **insured** against any **claim** to which this insurance applies. However, we have no duty to defend the **insured** against any **claim** to which this insurance does not apply.

- B.** We may, at our discretion, investigate any **claim, cleanup costs, emergency response costs or pollution condition**. We have the right to investigate, conduct negotiations, direct the defense and select counsel for any **claim** to which this insurance applies. Although selection of counsel is at our sole discretion, the **insured** may propose counsel for our consideration for any particular **claim**. If more than one **insured** is involved in a **claim** to which this insurance applies, we may, in our sole discretion, appoint separate counsel for one or more of such **insureds** if we determine there is an actual or potential conflict of interest between any such **insureds**.
- C.** Amounts we pay in carrying out our duty to defend are limited to **defense expenses**. **Defense expenses** will reduce the Limits of Insurance.
- D.** Our right and duty to defend, or to continue to defend, ends when the applicable Limit of Insurance shown in the Declarations has been exhausted or upon the **insured's** refusal of a settlement offer as described in Paragraph **E.** below.
- E.** We will not settle or compromise any **claim** without your written consent, which consent shall not be unreasonably withheld. However, if you refuse to consent to any settlement or compromise that we recommend and that is acceptable to the claimant:
1. Our liability under this Policy will be limited to the amount for which the **claim** could have been settled or compromised plus **defense expenses** incurred as of the date of your refusal to consent to such settlement or compromise, less the deductible. Our liability is subject to the applicable Limit of Insurance;
 2. We will have no liability for any **defense expenses** incurred after the date of your refusal to consent to such settlement or compromise; and
 3. We will have the right to withdraw from any further defense of the **claim** by tendering control of such defense to you. You agree, as a condition of the issuance of this Policy, to accept such tender.
- F.** If we and you agree to use **mediation** to resolve a **claim** prior to any court-ordered mediation or other form of mandatory dispute resolution, and if such **claim** is resolved as a direct result of and during such **mediation**, we will reduce the amount of the **insured's** deductible shown in the Declarations by 50% subject to a maximum reduction of \$15,000 for such **claim**. We will reimburse you for any deductible payments in excess of the reduced deductible for that **claim** made prior to the **mediation** as soon as practical after the conclusion of such **mediation**.

VII. CONDITIONS

A. Entire Agreement & Changes

This Policy and its endorsements contain all of the agreements between all of the **insureds** and us concerning the insurance afforded by this Policy and supersede any prior agreements, whether express or implied. Only the Company and you are authorized to request an amendment, waiver or change of the terms and conditions of this Policy. Terms and conditions of this Policy cannot be amended, waived or changed, except by endorsement issued by us and made a part of this Policy. Notice to any agent or knowledge possessed by any agent or by any other person shall not effect an amendment, waiver or change of any part of this Policy or estopp us from asserting any rights.

B. Authorizations

You will act on behalf of all of the **insureds** with respect to:

1. Giving or receiving of any notices under this Policy, including notices of cancellation and non-renewal;
2. Payment or return of premium;
3. Requesting, receiving and accepting any endorsement issued by us and made a part of this Policy; and

4. Exercising, or declining to exercise, any Extended Reporting Period.

C. Bankruptcy or Insolvency

Any **insured's** or any **insured's** estate's bankruptcy, insolvency or inability to pay will not relieve us of, or increase, our obligations.

D. Cancellation or Non-Renewal

1. You may cancel this Policy by mailing or delivering to us written notice of an effective date of cancellation no later than the Expiration Date of this Policy. A request by a premium finance company to cancel this Policy for non-payment of premium will be deemed a request by you to cancel this Policy. The earned premium will be computed in accordance with standard short rate tables and procedure, and will not be less than the Minimum Earned Premium shown in the Declarations.
2. We may cancel this Policy by mailing or delivering to you written notice of cancellation at least 60 days before the effective date of cancellation, or 10 days in the event of cancellation for non-payment of premium. We will send you any premium refund due. If we cancel, the refund will be computed in accordance with our standard pro rata tables and procedure and will not be less than the Minimum Earned Premium shown in the Declarations.
3. We may only cancel this Policy for the following reasons:
 - a. A change in the use or operations at a **covered location** during the **policy period** that is different from any use or operation identified during the underwriting process;
 - b. Fraud or misrepresentation;
 - c. Non-payment of premium or failure to pay any deductible or audit amount when due; or
 - d. Any **insured's** failure to comply with the terms and conditions under this Policy. If we cancel this Policy due to an **insured's** failure to comply with the terms and conditions under this Policy, you shall have 60 days from the date of the notice of cancellation to comply with the terms and conditions under the Policy. If such compliance is satisfactory to us, we will rescind the notice of cancellation in writing and the Policy will remain in force.
4. We will mail or deliver our notice of cancellation stating the effective date of cancellation to your mailing address shown in the Declarations. The **policy period** will end on the effective date of cancellation.
5. We will not be required to renew this Policy upon its expiration. If we elect not to renew this Policy, we will mail or deliver to you written notice of nonrenewal at least 60 days prior to the Expiration Date of this Policy. Any offer of renewal on terms involving a change of retention, premium, limit of liability or other terms and conditions will not constitute, nor be construed as, a failure or refusal by us to renew this Policy.
6. If notice is mailed, proof of mailing will be sufficient proof of notice.

E. Cooperation

All **insureds** must assist and cooperate with us in any investigation, adjustment, resolution, defense or settlement in connection with a **claim** or **pollution condition**. All **insureds** are required to: participate in meetings we request; provide records and other information we request; submit to examinations under oath we request; provide written statements we request; allow us to access and inspect any **covered location** or other property; testify at hearings, depositions and trials; secure and provide evidence; assist in effecting settlement and obtaining the attendance of witnesses; assist us in the pursuit of coverage under any other insurance that may be available for the **claim** or **pollution condition**; and take any other actions we request in connection with any investigation, adjustment, resolution, defense or settlement of a **claim** or **pollution condition**.

F. Coverage Territory

This Policy is applicable only in the United States of America, its territories and possessions, Puerto Rico and Canada.

G. Headings

The descriptions in the headings and sub-headings of this Policy are solely for convenience and form no part of the terms and conditions of coverage.

H. Legal Action Against Us

No person or organization has a right under this Policy:

1. To join us as a party or otherwise bring us into any action against any **insured**; or
2. To initiate any action against us unless, as a condition precedent, all of the Policy terms and conditions have been fully complied with.

A person or organization may sue us to recover an agreed settlement or a final judgment against an **insured** but we will not be liable for damages that are not payable under the terms of this Policy or that are in excess of the applicable Limit of Insurance. An agreed settlement means a settlement and release of liability signed by us, the **insured** and the claimant or the claimant's legal representative.

I. Other Insurance

If other valid and collectible insurance is available to any **insured** for any **pollution condition, claim, loss, defense expenses, cleanup costs** or **emergency response costs** we cover under any Coverage Part included in this Policy, our obligations are limited as follows:

1. Primary Insurance

This insurance is primary except when Paragraph **2.** below applies. If this insurance is primary, our obligations are not affected unless any of the other insurance is also primary. Then, we will share with all that other insurance by the method described in Paragraph **3.** below.

2. Excess Insurance

a. This insurance is excess over:

- (1) Any of the other insurance, whether primary, excess, contingent or on any other basis that is:
 - (a) Similar coverage for **your work**;
 - (b) For transportation pollution liability; or
 - (c) Project-specific insurance.

- (2) Any of the other insurance to which an **insured** has been added as an additional insured.
- b. When this insurance is excess over other insurance, we will have no duty under any Coverage Part to defend the **insured** if any other insurer has a duty to defend the **insured**. If no other insurer defends, we will undertake to do so, but we will be entitled to the **insured's** rights against all those other insurers. When this insurance is excess, we shall not contribute with such other insurance.
- c. When this insurance is excess over other insurance, we will pay only our share of the amount of **loss, defense expenses, cleanup costs** and **emergency response costs**, if any, that exceeds the sum of:
- (1) The total amount that all such other insurance would pay for the **loss, defense expenses, cleanup costs** and **emergency response costs** in the absence of this insurance; and
- (2) The total of all deductible and self-insured retention amounts under all that other insurance.
- d. We will share the remaining **loss, defense expenses, cleanup costs** and **emergency response costs**, if any, with any other insurance that is not described in this Excess Insurance condition and was not bought specifically to apply in excess of the Limits of Insurance shown in the Declarations of the applicable Coverage Part.

3. Method of Sharing

- a. If all of the other insurance permits contribution by equal shares, we will also follow this method. Under this approach each insurer contributes equal amounts until it has paid its applicable Limit of Insurance or none of the **loss, defense expenses, cleanup costs** or **emergency response costs** remains, whichever comes first.
- b. If any of the other insurance does not permit contribution by equal shares, we will contribute pro rata by limits. Under this method, each insurer's share is based on the ratio of its applicable Limit of Insurance to the total applicable Limits of Insurance of all insurers.

J. Inspection and Audit

We, or our authorized representatives, have at any time the right, but not any duty, to inspect, survey, sample or monitor any **covered location**, including any use of, or operation performed at, that location. We also have at any time the right, but not any duty, to interview any **insured**, including any person employed by an **insured** or retained on its behalf.

We are not obligated to inspect, survey, sample or monitor and any such actions we do undertake relate only to insurability and the premiums to be charged. We do not make safety inspections. We do not undertake to perform the duty of any person or organization to provide for the health or safety of workers or the public. We do not warrant that conditions are safe, healthful or comply with laws, regulations, codes, practices or standards.

K. Representations and Incorporation of the Application

All **insureds** represent that the statements contained in any application, questionnaire and other materials or information submitted to us by you or anyone acting on your behalf are true, accurate and complete and agree that:

1. This Policy is issued and continued in force by us in reliance upon the truth of such statements;
2. Those statements are representations made to us; and
3. Any application, questionnaire and other materials or information submitted to us are incorporated in and form a part of this Policy.

If there is any material misrepresentation, concealment or omission in any of the statements in any application, questionnaire or other materials or information submitted to us, this Policy will be void.

L. Separation of Insureds

Except with respect to Exclusion 8., **Insured vs. Insured**, in **A. General Exclusions – Applicable to all Coverages** of **SECTION II – EXCLUSIONS, SECTION III – LIMITS OF INSURANCE AND DEDUCTIBLE** and any rights or duties specifically assigned in this Policy to the **named insured**, this insurance applies:

1. As if each **named insured** were the only **named insured**; and
2. Separately to each **insured** against whom a **claim** is made.

Misrepresentation, concealment, omission, breach of condition or violation of any duty under this Policy by one **insured** shall not prejudice the interest of, or coverage for, another **insured** under this Policy, except:

1. Where an **insured** is a parent, subsidiary or **affiliate** of the **insured** that committed such misrepresentation, concealment, omission, breach of condition or violation of duty; or
2. Where the misrepresentation, concealment, omission, breach of condition or violation of duty by an **insured** occurs during the procurement of insurance coverage from us, including in any application, questionnaire or other materials or information submitted to us.

M. Subrogation and Transfer of Rights of Recovery Against Others To Us

If any **insured** has rights to recover all or part of any payment we have made under this Policy, those rights are transferred to us. The **insureds** must do nothing to impair those rights. At our request, an **insured** will execute and deliver instruments and papers and do whatever else is necessary to secure those rights, bring suit or transfer those rights to us and help us enforce them.

Any sums recovered through subrogation or otherwise shall be distributed as follows:

1. First, expenses incurred in recovering such sums shall be deducted and paid to the party(ies) incurring those expenses until they are fully reimbursed for those expenses, but we shall be fully reimbursed for any such expenses we incur before any other party has its expenses reimbursed;
2. Next, if there is any amount remaining after reimbursement of those expenses, it shall be paid first to the **insured** to the extent of any payments made by the **insured** in excess of the limit of liability, but only for payments made by the **insured** that would otherwise be covered by the Policy; then to the Company to the extent of its payments under the Policy; then to the **insured** to the extent of any payment it made towards its deductible.

Notwithstanding anything to the contrary in this Condition, the Company waives any rights of subrogation against a person or organization where such right was waived in writing by the **insured** prior to:

1. The date the **pollution condition** first became known by or was reported to a **responsible employee**, if we made our payment under Coverage Parts **A.1, B.1, D.1** or **F.1**; or
2. The date the **claim** was first made, if we made our payment under Coverage Parts **A.2, B.2, C, D.2, E** or **F.2**.

N. Transfer Of Your Rights And Duties Under This Policy

An **insured's** rights and duties under this Policy may not be transferred without our prior written consent, except in the case of death of an individual **named insured** that is a natural person, which consent shall not be unreasonably withheld.

If such a **named insured** dies, his or her rights and duties will be transferred to such **named insured's** legal representative but only while acting within the scope of duties as such **named insured's** legal representative. Until such **named insured's** legal representative is appointed, anyone having proper temporary custody of such **named insured's** property will have such **named insured's** rights under this Policy.

VIII. EXTENDED REPORTING PERIODS

A. Extended Reporting Periods

1. The Extended Reporting Periods do not:
 - a. Extend the **policy period** or change the scope of coverage provided; or
 - b. Reinstate or increase any Limits of Insurance; or
 - c. Apply to **claims** that are covered under any subsequent insurance you purchase, or that would be covered but for exhaustion of the amount of insurance applicable to such **claims**.
2. You shall be entitled to the Extended Reporting Periods set forth in Paragraphs **4.** and **5.** below only if:
 - a. The Policy is cancelled or not renewed for any reason except fraud or misrepresentation on your part or non-payment of premium; or
 - b. You do not purchase coverage to replace the coverage provided under this Policy.

3. Automatic Renewal Extended Reporting Period

- a. If you renew this Policy with us, you shall be entitled to a period of 60 days from the end of the **policy period** in which to provide us written notice of:
 - (1) A **claim** first made against an **insured** within 30 days of the end of the **policy period**, provided the **claim** arises from a **pollution condition** that commenced on or after the Retroactive Date and before the end of the **policy period** and is otherwise covered by this Policy; or
 - (2) A **pollution condition** first discovered within 30 days of the end of the **policy period** that commenced on or after the Retroactive Date and before the end of the **policy period** and is otherwise covered by this Policy.

Such a **claim** or **pollution condition** reported to the Company within this Automatic Renewal Extended Reporting Period will be deemed to have been reported on the last day of the **policy period**.

- b. This Automatic Extended Reporting Period may not be cancelled and does not require the payment of additional premium.

4. Automatic Extended Reporting Period

- a. In addition to the requirements stated in Paragraph **2.** above, you shall be entitled to a period of 90 days from the end of the **policy period** to provide us written notice of a **claim** made during the **policy period**, provided the **claim** arises from a **pollution condition** that commenced on or after the Retroactive Date and before the end of the **policy period** and is otherwise covered by this Policy.
- b. This Automatic Extended Reporting Period may not be cancelled and does not require the payment of additional premium.

- c. No part of the Automatic Extended Reporting Period shall apply if the Optional Extended Reporting Period is purchased.

5. Optional Extended Reporting Period

- a. In addition to the requirements stated in Paragraph 2. above and upon the payment of additional premium, you shall be entitled to a period of 36 months from the end of the **policy period** to provide us written notice of a **claim** made during the **policy period**, provided the **claim** arises from a **pollution condition** that commenced on or after the Retroactive Date and before the end of the **policy period** and is otherwise covered by this Policy.
- b. The additional premium for the Optional Extended Reporting Period will not exceed 200% of the total policy premium, including any additional premium bearing endorsements issued during the **policy period**. The additional premium must be paid in its entirety when due and will be fully earned upon inception of the Optional Extended Reporting Period.
- c. Your right to purchase the Optional Extended Reporting Period must be exercised by providing us written notice no later than 30 days after the cancellation or expiration date of this Policy. Effective notice must indicate the length of the Optional Extended Reporting Period desired. The purchase of any Optional Extended Reporting Period shall be scheduled to this Policy by endorsement.

If such notice and the premium are not provided to us within such 30 days, then you shall not be entitled to purchase an Optional Extended Reporting Period at a later date.

- d. The Optional Extended Reporting Period may not be cancelled by us, provided that all other terms and conditions of the Policy are met.

IX. DEFINITIONS

- A. **Affiliate** means an organization directly or indirectly controlled by, or under common control with, the **insured**.
- B. **Bodily injury** means:
 - 1. Bodily injury, sickness, disease or illness sustained by a person, including death resulting from any of these at any time, and, solely with respect to this Paragraph **B.1.**, accompanying medical or environmental monitoring; and
 - 2. Mental anguish, emotional distress or mental illness if the mental anguish, emotional distress or mental illness results from such bodily injury, sickness, illness or disease at any time.
- C. **Cargo** means goods, products or waste transported by the **insured** or a **carrier** on behalf of the **insured**, but only if the **insured** or **carrier** transporting the goods, products or waste is:
 - 1. Licensed to transport such goods, products or waste; and
 - 2. In compliance with all federal, state, provincial, tribal or local laws, statutes, ordinances and regulations applicable to the transportation of those goods, products or waste.
- D. **Carrier** means a person or organization, other than the **insured**, that is in the business of transporting for hire goods, products or waste, but only if that person or organization is:
 - 1. Licensed to transport such goods, products or waste; and
 - 2. In compliance with all federal, state, provincial, tribal or local laws, statutes, ordinances and regulations applicable to the transportation of those goods, products or waste.

- E. **Claim** means a written notice or demand, including a suit or legal action, received by the **insured** and alleging liability or responsibility on the part of the **insured**.
- F. **Cleanup costs** means reasonable and necessary expenses, including **restoration costs**, incurred in order to investigate, test, monitor, contain, abate, remediate, neutralize, clean or dispose of soil, groundwater, surface water or other contaminated media as a result of a **pollution condition**, but only:
1. To the extent required by applicable **environmental law**; or
 2. If not required by applicable **environmental law**, to the extent recommended in writing by an **environmental professional** and accepted by us.

Cleanup costs do not include **property damage**.

- G. **Contracting operations** means **your work** performed by you or on your behalf for a third party for a fee at a job site that is not managed, owned, operated or leased by an **insured** or any subsidiary or **affiliate** of an **insured**.
- H. **Conveyance** means any automobile, vehicle, railcar, rolling stock, train, watercraft, or aircraft. **Conveyance** does not include pipelines.
- I. **Covered location** means real property owned, leased, rented or operated by you that is identified and scheduled on this Policy as shown in the Declarations or a Covered Location Endorsement.
- J. **Defense expenses** means reasonable and necessary fees, costs and expenses, including the fees of any attorney selected under this Policy, incurred in the investigation, adjustment, resolution, defense, representation, settlement or appeal of:
1. A **claim**;
 2. An action brought by a regulatory agency with jurisdiction over **environmental law**.

Such fees, costs and expenses must be incurred by us, an attorney we designate or the **insured** with our consent. Solely for such fees, costs and expenses incurred as **emergency response costs** within 72 hours of the commencement of a **pollution condition**, our consent is not required during those 72 hours. However, our consent is required for any such additional or continued fees, costs and expenses after those 72 hours.

Defense expenses does not include salary, overhead or other charges by regular employees of ours or an **insured**, including the **insured's** in-house legal counsel, for any time spent in assisting in the investigation or resolution of any **claim**.

- K. **Emergency response costs** means those reasonable and necessary **cleanup costs** incurred by you within 72 hours of the commencement of a **pollution condition** that poses an immediate and substantial threat to human health and the environment and requires an immediate remediation of soil, surfacewater, groundwater or other contamination in order to mitigate or reduce such threat, including reasonable and necessary **defense expenses** incurred within those 72 hours in connection with those **cleanup costs**.
- L. **Environmental law** means any federal, state, provincial, tribal or local law, statute, ordinance, rule, guidance document, regulation, judicial or administrative order, or directive and all applicable amendments, including voluntary cleanup and risk-based corrective action guidance, that govern an **insured's** responsibility for a **pollution condition**.
- M. **Environmental professional** means a person or organization, approved by us in writing, who possesses sufficient specific education, training and experience in a recognized field of environmental science necessary to exercise professional judgment in the development of opinions and conclusions regarding the presence of any **pollution condition** and who, in our judgment, maintains adequate errors and omissions insurance.

N. Illicit abandonment means deliberate abandonment or disposal of goods, products or waste that results in a **pollution condition** provided that such abandonment or disposal was committed by a person or organization other than an **insured** and without the knowledge or consent of an **insured**.

O. Insured means:

1. The **named insured**; and
2. Any past or present director, officer, member, partner or employee of the **named insured**, including a **temporary worker** or **leased worker**, while acting within the scope of his or her employment or duties as such.

P. Insured contract means a contract or agreement pertaining to your business under which you assume the liability of another person or organization for **loss, bodily injury, property damage, cleanup costs** or **emergency responses costs**, but only if the contract or agreement is submitted to and approved by the Company and scheduled to this Policy on an Insured Contract Endorsement.

Q. Leased worker means a person leased to you by a labor leasing firm under an agreement between you and the labor leasing firm, to perform duties related to the conduct of your business. **Leased worker** does not include a **temporary worker**.

R. Loss means:

A monetary judgment or award for, or monetary settlement of:

1. Compensatory damages in a **claim** for **bodily injury** or **property damage**; and
2. Where insurable by law, punitive, exemplary or multiplied damages and civil fines, penalties and assessments in a **claim** for **bodily injury** or **property damage**.

S. Mediation means the voluntary and non-binding process by which a qualified, professional mediator is appointed by you and other parties, with our written consent, to intercede with the intent to reconcile and resolve a **claim**.

T. Mold means any of the various mildew or fungi responsible for the disintegration of organic or inorganic matter, or the growth of such fungi, including any mycotoxins, spores, scents or byproducts produced or released.

U. Named insured means the person or organization shown in the Declarations as the **named insured** and any and all corporations, partnerships, companies or other organizations as have existed at any time, or as now or may hereafter exist during the **policy period** and in which the person or organization shown as the **named insured** in the Declarations did or does have more than a 50% ownership interest but, with respect to such corporations, partnerships, companies or other organizations, solely with respect to liability arising out of the ownership, operation, maintenance or use of a **covered location**.

V. Natural resource damage:

1. Means physical injury to, destruction of or loss of natural resources including land, fish, wildlife, biota, air, water, groundwater, drinking water supplies and other such resources belonging to, managed by, held in trust by, appertaining to or otherwise controlled by:
 - a. The United States;
 - b. Any state, provincial or local government;
 - c. Any foreign entity; or
 - d. Any Native American Tribe.

2. Includes:

- a. Resources subject to a trust restriction or alienation by any member of a Native American Tribe;
or
- b. Resources that are subject to the Magnuson-Stevens Fishery Conservation and Management Act (16 U.S.C. 1801 et seq.).

W. Non-owned disposal site means:

A waste treatment, waste storage or waste disposal facility utilized by you or on your behalf for waste generated from a **covered location**, provided that as of the date that the waste was delivered to the facility, such facility:

1. Was located within the United States, its territories or possessions;
2. Was not, and had not been at any time, owned, leased, rented, operated, occupied or managed by an **insured**;
3. Was properly licensed and permitted to accept and dispose of such waste;
4. Was not listed, was not proposed for listing and had never been listed on the federal National Priorities List (Superfund), or a state, provincial, tribal or local equivalent list;
5. Was not subject to, and had not been subject to in the prior five years, a federal information request under Section 104(e) of the Comprehensive Environmental Response, Compensation, and Liability Act or Section 3007(a) of the Resource Conservation and Recovery Act, or a state, provincial, tribal or local equivalent request;
6. Had not been subject to a consent order or corrective action under **environmental law**; and
7. Was not owned or operated by a bankrupt or financially insolvent person or organization.

X. Policy period means the period shown in the Declarations or as amended by endorsement to this Policy.

Y. Pollutant means any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals, hazardous substances, low-level radioactive waste, electromagnetic fields, silt or sediment and waste, including medical, infectious and pathological wastes and materials to be recycled, reconditioned or reclaimed.

Pollutant includes viruses and bacteria, including *Legionella pneumophila*.

Z. Pollution condition means the discharge, dispersal, release, seepage or escape of **pollutants** into or upon the land, surface water, groundwater, or biota, including the atmosphere, buildings or other structures, provided the concentrations or amounts of such **pollutants** are in excess of those found naturally occurring in the environment.

Pollution condition includes **illicit abandonment** during the **policy period** at a **covered location** or during **transportation** of **cargo** by a **carrier**.

Any series of continuous, repeated or related **pollution conditions** shall be deemed one **pollution condition**.

AA. Property damage means:

1. Physical injury to tangible property of parties other than an **insured**, including all resulting loss of use of that property;
2. Loss of use of tangible property, that is not physically injured, of parties other than an **insured**;

3. Diminution in the value of such other parties' property; or
4. **Natural resource damage.**

Property damage does not include **cleanup costs** or **emergency response costs**.

For the purposes of this insurance, electronic data is not tangible property.

As used in this definition, electronic data means information, facts or programs stored as or on, created or used on, or transmitted to or from computer software, including systems and applications software, hard or floppy disks, CD-ROMS, tapes, drives, cells, data processing devices or any other media which are used with electronically controlled equipment.

BB. Responsible employee means any of the **insured's**:

1. Owners, officers, directors or partners;
2. Members or managers, if the **insured** is a limited liability company;
3. Risk managers;
4. Managers or supervisors of a **covered location**; or
5. Employees who are responsible for environmental compliance, health and safety, or legal affairs.

CC. Restoration costs means reasonable and necessary costs incurred by the **insured** to repair, replace or restore real or personal property to place it in substantially the same condition it was in prior to being damaged in the course of incurring **cleanup costs**. **Restoration costs** do not include:

1. Any costs incurred by the **insured** without our prior written consent; and
2. Any costs associated with enhancements, improvements, maintenance to or upgrades of such real or personal property.

DD. Temporary worker means a person who is furnished to you to substitute for a permanent employee on leave or to meet seasonal or shortterm workload conditions.

EE. Transportation means the movement of **cargo** by **conveyance**, beyond the legal boundaries of a **covered location** or a location where you are performing **contracting operations**, until it arrives at:

1. Its final destination; or
2. A waste disposal facility, if the **cargo** is waste.

Transportation includes the loading and unloading of **cargo** onto or from a **conveyance**, provided that the loading and unloading is performed by or on behalf of the **insured**.

Transportation does not include **cargo** in storage off-loaded from the **conveyance** transporting it.

FF. Underground storage tank means any tank, including associated pumps, piping and equipment connected to such tank, which has at least 10% of its volume beneath the surface of the ground.

GG. Your product means any goods or products, other than real property, manufactured, sold, handled, distributed or disposed of by you or others trading under your name, and containers (other than vehicles), materials, parts or equipment furnished in connection therewith. **Your product** includes warranties or representations made at any time with respect to the fitness, quality, durability, performance or use of **your product**, and the providing of or failure to provide warnings or instructions.

HH. Your work means work or operations performed by you or on your behalf, and materials, parts or equipment furnished in connection with such work or operations. **Your work** includes warranties or representations made at any time with respect to the fitness, quality, durability, performance or use of **your work**, and the providing of or failure to provide warnings or instructions.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

**ADDITIONAL INSURED –
DESIGNATED PERSON OR ORGANIZATION**

This endorsement modifies coverage provided under the following:

ENVIRONMENTAL PREMISES LIABILITY COVERAGE FORM

SCHEDULE

Name of Person or Organization:

Cana River, LLC

The following is added to definition **O., Insured**, in **SECTION IX – DEFINITIONS**:

Insured means:

The person or organization shown in the SCHEDULE above, but only with respect to liability arising out of your ownership, operation, maintenance or use of a **covered location**.

All other terms and conditions remain the same.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

ADDITIONAL NAMED INSURED

This endorsement modifies coverage provided under the following:

ENVIRONMENTAL PREMISES LIABILITY COVERAGE FORM

SCHEDULE

Named Insured:

Nicotine River, LLC dba River Supply Co
Midnight Manufacturing, LLC

The person or organization shown in the SCHEDULE above is added to this Policy as a **named insured**.

All other terms and conditions remain the same.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**COVERED LOCATION SCHEDULE**

This endorsement modifies coverage provided under the following:

ENVIRONMENTAL PREMISES LIABILITY COVERAGE FORM**SCHEDULE**

Covered Location	Intended Use Or Operations	Retroactive Date
2535 Conejo Spectrum Street, Building 4 Thousand Oaks, CA 91320	Warehouse/ Distribution	07/02/2018
2640 Lavery Court Newbury Park, CA 91320	Warehouse/ Distribution	07/02/2021

1. Each location shown in the SCHEDULE above is a **covered location** under this Policy.
2. The Retroactive Date shown for a **covered location** in the SCHEDULE above applies to that **covered location** for all Coverage Parts shown in the Declarations. If "Not Applicable" is shown in the Retroactive Date field for a **covered location** in the SCHEDULE above, then no Retroactive Date applies to that **covered location** for any Coverage Parts shown in the Declarations. If the Retroactive Date field for a **covered location** in the SCHEDULE above is blank, then the Retroactive Date shown in the Declarations applies to that **covered location** for all Coverage Parts shown in the Declarations.
3. The Intended Use or Operations shown in the SCHEDULE above is the intended use or operations for that **covered location** at the effective date of this Policy.

All other terms and conditions remain the same.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

CRISIS MANAGEMENT COVERAGE ENDORSEMENT

This endorsement modifies coverage provided under the following:

ENVIRONMENTAL PREMISES LIABILITY COVERAGE FORM

SCHEDULE

<u>Limits Of Insurance</u>	
Crisis Management Aggregate Limit	\$ 100,000

A. The following Coverage Part is added to SECTION I – INSURING AGREEMENTS:

COVERAGE – CRISIS MANAGEMENT

- 1. We will pay you for the **crisis management costs** that you incur as the result of a **crisis management event** on, at or under the legal boundary of a **covered location**, but only if:**
 - a. The **crisis management event** takes place in the **coverage territory**;**
 - b. The **crisis management event** first commenced on or after the applicable Retroactive Date, if any, and before the end of the **policy period**;**
 - c. The **crisis management event** first becomes known by or is reported to a **responsible employee**, during the **policy period**;**
 - d. The **crisis management event** is reported to us in writing by you during the **policy period** and no later than 72 hours after a **responsible employee** first becomes aware of the **crisis management event**;**
 - e. The **crisis management costs**:**
 - (1) Are incurred within 180 days after the **crisis management event** first commenced; and**
 - (2) Solely and directly arise from the **crisis management event**; and**
 - f. You seek reimbursement of the **crisis management costs** from us in writing within 60 days after you incur the **crisis management costs**.**
- 2. Any payment by us for **crisis management costs** under this Coverage Part will not:**
 - a. Constitute a determination of any of our rights or obligations under any other part of this Policy;**
 - b. Create any duty to defend any **claim** under this Policy;**
 - c. Create any duty to pay for **loss, defense expenses, cleanup costs** or **emergency response costs** under this Policy; or**
 - d. Create a waiver of, or estopp us from asserting, any right or defense we have under this Policy.**

B. The following is added to SECTION II – EXCLUSIONS:**Crisis Management Exclusions – Applicable to Coverage – Crisis Management**

In addition to the General Exclusions, the following exclusions apply to **Coverage – Crisis Management**:

This insurance does not apply to any:

1. Costs Arising From Matters Not Otherwise Covered Under This Policy

Crisis management costs based on or arising out of any **pollution condition, claim, loss, defense expenses, bodily injury, property damage, cleanup costs or emergency response costs** not covered under another Coverage Part of this Policy.

2. Newly Acquired Or Merged Entities

Crisis management costs based on or arising out of the operation of another business, organization or entity which you acquire or with which you merge, if the **crisis management costs** arise from a **crisis management event** that first commenced prior to the date you acquired or merged with that other business, organization or entity.

C. The following is added to SECTION III – LIMITS OF INSURANCE AND DEDUCTIBLE:**Crisis Management Limits of Insurance and Deductible**

1. The Crisis Management Aggregate Limit shown in the SCHEDULE above is the most we will pay for the sum of all **crisis management costs**, regardless of the number of **insureds, pollution conditions, crisis management events or covered locations**.
2. Our payment of **crisis management costs** under the Crisis Management Aggregate Limit will reduce the Crisis Management Aggregate Limit and also reduce the Policy Aggregate Limit shown on the Declarations, but will not reduce any other Limit of Insurance under this Policy. The **crisis management costs** are not subject to any deductible under this Policy.
3. We will have no obligation to pay **crisis management costs**:
 - a. Incurred more than 180 days after the **crisis management event** first commenced;
 - b. Incurred after we determine that a **crisis management event** has ended; or
 - c. After the Crisis Management Aggregate Limit shown in the SCHEDULE above has been exhausted;whichever comes first.
4. The Limits of Insurance shown in the SCHEDULE above apply to the **policy period**.

D. The following is added to Paragraph 2 of Paragraph A., Limits of Insurance, of SECTION III – LIMITS OF INSURANCE AND DEDUCTIBLE:

Crisis management costs are also subject to, and will reduce, the Policy Aggregate Limit shown in the Declarations.

E. The following is added to SECTION V – REPORTING AND RELATED DUTIES:

Notice of and Additional Duties during a Crisis Management Event and Requests for Reimbursement

- 1. Notice of a crisis management event** should include:
 - a.** A description of the **crisis management event**, including how, when and the location where the **crisis management event** took place;
 - b.** The names and addresses of all injured persons and witnesses;
 - c.** Any action taken by any **insured** or others to respond to the **crisis management event**; and
 - d.** The names and contact information for persons with knowledge of the **crisis management event**.
- 2.** Each request for reimbursement of **crisis management costs** must include invoices and receipts proving and specifically describing the **crisis management costs** in detail.

F. The following condition is added to SECTION VII – CONDITIONS:

Other Insurance – Crisis Management Costs

- a.** You may have other insurance subject to the same plan, terms, conditions and provisions as the insurance provided under this endorsement. If you do, we will pay our share of the **crisis management costs**. Our share is the proportion that the applicable Limit of Insurance shown in the SCHEDULE above bears to the Limits of Insurance of all insurance covering on the same basis.
- b.** If there is other insurance covering the same **crisis management costs**, other than that described in Paragraph **a.** above, we will pay only for the amount of covered **crisis management costs** in excess of the amount due from that other insurance, whether you can collect on it or not. But we will not pay more than the applicable Limit of Insurance.

G. The following definitions are added to SECTION IX – DEFINITIONS:

Crisis management costs:

- a.** Means those reasonable and necessary fees, costs and expenses incurred during a covered **crisis management event**:
 - (1)** By a **crisis management professional** for **crisis management services** for you; and
 - (2)** For printing, advertising, mailing of materials, managing media inquiries, or travel by your directors, officers, **employees** or agents or the **crisis management professional**, but only if incurred at the direction of the **crisis management professional**.
- b.** Do not include any:
 - (1)** Benefits, wages or salaries of any **insured**, **employee** or **temporary employee**;
 - (2)** Loss of business income; or
 - (3)** **Defense expenses** or any other cost or expense to defend, pay or settle any **claim** or **suit** against any **insured**.

Crisis management event means a **pollution condition** that in the good faith of a **responsible employee**, in the absence of **crisis management services**, has or may reasonably result in:

- a. A **claim, loss, defense expenses, bodily injury, property damage, cleanup costs or emergency response costs** covered under another Coverage Part of this Policy; and
- b. Significant adverse regional or national media coverage.

Crisis management professional means a firm or consultant, hired by you and approved by us in writing, that provides or coordinates crisis management or public relations services for you. Such approval shall not be unreasonably withheld.

Crisis management services means those services performed by the **crisis management professional** for the sole purpose of minimizing potential harm to you from a covered **crisis management event** by maintaining or restoring public confidence in you.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

SERVICE OF SUIT

This endorsement modifies coverage provided under the following:

ENVIRONMENTAL PREMISES LIABILITY COVERAGE FORM

The following is added to **SECTION VII – CONDITIONS**:

Service of Suit

1. We designate and authorize the following person as our agent for service of process for any proceeding brought by or on behalf of the insured, or any beneficiary under this policy, and arising out of this policy of insurance. Such service of process must be made by certified mail return receipt requested to:

General Counsel
OneBeacon Insurance Group – Legal Department
605 North Highway 169
Suite 800
Plymouth, MN 55441

2. If required by applicable statute, we also designate the Superintendent, Commissioner or Director of Insurance, or other officer or individual specified in the law of the jurisdiction in which this policy is issued, to receive on our behalf service of process for any proceeding brought by or on behalf of the insured, or any beneficiary under this policy, and arising out of this policy of insurance. We authorize the Superintendent, Commissioner, Director or other officer or individual upon whom service is made to mail a copy of the process to the person identified in Paragraph 1. above.
3. In Rhode Island, we also designate and authorize the following person as our agent for service of process for any proceeding brought by or on behalf of the insured, or any beneficiary under this policy, and arising out of this policy of insurance:

Sherry A. Goldin
10 Weybosset Street
Providence, Rhode Island 02903

4. In Oregon, service of process for any proceeding brought by or on behalf of the insured, or any beneficiary under this policy, and arising out of this policy of insurance may be made upon the insurance producer in the courts for the county where the insurance producer who registered or delivered the policy resides or transacts business.
5. By agreeing to the service of process provisions above, we do not waive our right to commence an action in any court of competent jurisdiction in the United States, remove an action to a United States District Court or seek a transfer of a case to another court as permitted by the laws of the United States or of any state within the United States.

All other terms and conditions remain the same.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

BUSINESS INCOME AND EXTRA EXPENSE COVERAGE ENDORSEMENT

This endorsement modifies coverage provided under the following:

ENVIRONMENTAL PREMISES LIABILITY COVERAGE FORM

SCHEDULE

Limits Of Insurance

Business Income and Extra Expense Each Incident Limit:	\$ 1,000,000
Business Income and Extra Expense Aggregate Limit:	\$ 1,000,000
Deductible Period:	5 days
Period of Restoration:	365 days

A. The following Coverage Part is added to **SECTION I – INSURING AGREEMENTS**:

COVERAGE – BUSINESS INCOME AND EXTRA EXPENSE

- 1.** We will pay you for the **business interruption loss** that you incur after the **deductible period** and during the **period of restoration** due to the necessary **suspension** of your **operations** at a **covered location**, but only if:
 - a.** The **suspension** of **operations** is caused directly by a **covered pollution incident**;
 - b.** The **covered pollution incident** first commenced on or after the applicable Retroactive Date shown on the Declarations for **COVERAGE A** or **COVERAGE B** or as shown on an endorsement for the **covered location**, if any, and before the end of the **policy period**;
 - c.** The **covered pollution incident** first becomes known by or is reported to a **responsible employee**, during the **policy period**;
 - d.** The **covered pollution incident** is reported to us in writing by you:
 - (1)** No later than 30 days after a **responsible employee** first becomes aware of the **covered pollution incident**; and
 - (2)** During the **policy period**; and
 - e.** You submit to us a completed Business Income Report Worksheet reflecting the financial data for your **operations** at the **covered location** experiencing the **business interruption loss** within 30 days after reporting the **business interruption loss** to us.

If the **suspension** of your **operations** is caused by a **covered pollution incident** and any other cause, we will pay only for that portion of **business interruption loss** attributable solely and directly to such **covered pollution incident**.

For a **covered pollution incident** that a **responsible employee** first becomes aware of during the last 30 days of the **policy period**, Paragraph **d.(1)** above applies, but Paragraph **d.(2)** above does not apply.

- 2.** Any payment by us for **business interruption loss** under this Coverage Part will not:

- a.** Constitute a determination of any of our rights or obligations under any other part of this Policy;

- b. Create any duty to defend any **claim** under this Policy;
- c. Create any duty to pay for **loss, defense expenses, cleanup costs or emergency response costs** under this Policy; or
- d. Create a waiver of, or estoppel us from asserting, any right or defense we have under this Policy.

B. The following is added to SECTION II – EXCLUSIONS:

Business Income and Extra Expense Exclusions – Applicable to Coverage – Business Income and Extra Expense

In addition to the General Exclusions, the following exclusions apply to **Coverage – Business Income and Extra Expense**:

This insurance does not apply to any:

1. Costs Arising From Matters Not Otherwise Covered Under This Policy

Business interruption loss based on or arising out of any **pollution condition, claim, defense expenses, cleanup costs or emergency response costs** not covered under **COVERAGE A – ON-SITE CLEANUP COSTS** or **COVERAGE B – OFF-SITE CLEANUP COSTS**.

2. Newly Acquired Or Merged Entities

Business interruption loss based on or arising out of the operation of another business, organization or entity which you acquire or with which you merge, if the **business interruption loss** arises from a **covered pollution incident** that first commenced prior to the date you acquired or merged with that other business, organization or entity.

C. The following is added to Paragraph A., Limits of Insurance, of SECTION III – LIMITS OF INSURANCE AND DEDUCTIBLE:

Business Income and Extra Expense Limits of Insurance

- 1. The Business Income and Extra Expense Aggregate Limit shown in the SCHEDULE above is the most we will pay for the sum of all **business interruption loss**, regardless of the number of **insureds, covered pollution incidents, suspensions or covered locations**.
- 2. The Business Income and Extra Expense Each Incident Limit shown in the SCHEDULE above is the most we will pay for the sum of all **business interruption loss** arising out of a **covered pollution incident**, regardless of the number of **insureds, suspensions or covered locations**.
- 3. All **business interruption loss** based on, attributable to, caused directly or indirectly by, arising out of, or in any way involving the same **covered pollution incident** or any series of continuous, repeated or related **covered pollution incidents** shall be subject to a single Business Income and Extra Expense Each Incident Limit.
- 4. Our payment of **business interruption loss** under the Business Income and Extra Expense Each Incident Limit will reduce that Limit, reduce the Business Income and Extra Expense Aggregate Limit and reduce the Policy Aggregate Limit shown on the Declarations, but will not reduce any other Limit of Insurance under this Policy.
- 5. The Limits of Insurance shown in the SCHEDULE above apply to the **policy period**.

D. The following is added to Paragraph 2. of Paragraph A., Limits of Insurance, of SECTION III – LIMITS OF INSURANCE AND DEDUCTIBLE:

Business interruption loss is also subject to, and will reduce, the Policy Aggregate Limit shown in the Declarations.

E. The following is added to Paragraph B., Deductible, of SECTION III – LIMITS OF INSURANCE AND DEDUCTIBLE:

You must pay for all **business interruption loss** incurred during the **deductible period** based on, attributable to, caused directly or indirectly by, arising out of, or in any way involving the same **covered pollution incident** or any series of continuous, repeated or related **covered pollution incidents**, regardless of the number of **insureds, suspensions or covered locations**.

F. The following is added to SECTION V – REPORTING AND RELATED DUTIES:

Notice of and Additional Duties during a Business Interruption Loss

You must:

- a. Take all reasonable steps to protect the **covered location** from further damage, and keep a record of your expenses for consideration in the settlement of the **business interruption loss**.
- b. Send us a signed, sworn proof of the **business interruption loss** containing the information we request to investigate the **business interruption loss**. You must do this within 30 days after our request. We will supply you with the necessary forms.
- c. If you intend to continue your business, you must resume all or part of your **operations** as quickly as possible.

G. The following conditions are added to SECTION VII – CONDITIONS:

Business Interruption Loss Appraisal

If we and you disagree on the amount of **business interruption loss**, either party may make a written demand for an appraisal. In this event, each party will select a competent and impartial appraiser.

If necessary, the two appraisers will select an umpire. If they cannot agree on an umpire, either appraiser may request that selection be made by a judge of a court having jurisdiction over the matter. The appraisers will state separately the amount of **business interruption loss**. If the appraisers fail to agree, they will submit their differences to the umpire. A decision agreed to by the appraisers, or the umpire, if necessary, will be binding upon both parties. Each party will:

- a. Pay its chosen appraiser; and
- b. Bear the other expenses of the appraisal and umpire equally.

Even if there is an appraisal, we still retain our right to deny all or part of any **business interruption loss**.

Other Insurance – Business Interruption Loss

- a. You may have other insurance subject to the same plan, terms, conditions and provisions as the insurance provided under this endorsement. If you do, we will pay our share of the **business interruption loss**. Our share is the proportion that the applicable Limit of Insurance shown in the SCHEDULE above bears to the Limits of Insurance of all insurance covering on the same basis.

- b. If there is other insurance covering the same **business interruption loss**, other than that described in Paragraph **a.** above, we will pay only for the amount of covered **business interruption loss** in excess of the amount due from that other insurance, whether you can collect on it or not. But we will not pay more than the applicable Limit of Insurance.

Loss Determination

- a. The amount of **business income** loss will be determined based on:
- (1) The Net Income of your **operations** at the **covered location** before the **covered pollution incident** occurred;
 - (2) The likely Net Income of your **operations** if no **covered pollution incident** had occurred, but not including any Net Income that would likely have been earned as a result of an increase in the volume of your **operations** due to favorable business conditions caused by the impact of the **covered pollution incident** on customers or on other businesses;
 - (3) The operating expenses, including payroll expenses, necessary to resume **operations** with the same quality of service that existed just before the **covered pollution incident**; and
 - (4) Other relevant sources of information, including:
 - (a) Your financial records and accounting procedures;
 - (b) Bills, invoices and other vouchers; and
 - (c) Titles, liens or contracts.
- b. The amount of **extra expense** will be determined based on:
- (1) All expenses that exceed the normal operating expenses that would have been incurred by **operations** during the **period of restoration** if no **covered pollution incident** had occurred. We will deduct from the total of such expenses:
 - (a) The salvage value that remains of any property bought for temporary use during the **period of restoration**, once **operations** are resumed; and
 - (b) Any **extra expense** that is paid for by other insurance, except for insurance that is written subject to the same plan, terms, conditions and provisions as the coverage provided by this endorsement; and
 - (2) Necessary expenses that reduce the **business income** loss that otherwise would have been incurred.

Resumption of Operations

- a. We will reduce the amount of your **business income loss** to the extent you can resume **operations**, in whole or in part, by using any property.
- b. We will reduce the amount of your **extra expense** loss to the extent you can return **operations** to normal and discontinue such **extra expense**.
- c. If you do not resume **operations**, or do not resume **operations** as quickly as possible, any loss determination will be based on the length of time it would have taken to resume **operations** as quickly as possible.

Loss Payment

We will pay for covered **business interruption loss** within 30 days after we receive the sworn documentation addressed in Paragraph **b.** of the Notice of and Additional Duties during a Business Interruption Loss condition if you have complied with all of the terms of this Coverage Part, and:

- a. We have reached agreement with you on the amount of such **business interruption loss**; or
- b. An appraisal award has been made.

H. The following definitions are added to **SECTION IX – DEFINITIONS**:

Business income means:

- a. Net Income (net profit or loss before income taxes), including rental income from tenants, that would have been earned or incurred had there been no **suspension** of your **operations**, but only if and to the extent such income existed prior to commencement of a **covered pollution incident**; and
- b. Continuing normal operating expenses, except those payroll expenses for any of your officers, directors, department managers, or employees under contract.

Business income does not include bank interest or investment income.

Business interruption loss means the actual and necessary **business income** and **extra expense** you incurred during the **period of restoration**. However, to the extent that **business interruption loss** can be reduced by the partial or complete resumption of **operations** at the **covered location**, or at an alternate location, such reductions will be considered in calculating any **business interruption loss**.

Covered pollution incident means a **pollution condition** resulting in **cleanup costs** or **emergency response costs** covered under **COVERAGE A – ON-SITE CLEANUP COSTS** or **COVERAGE B – OFF-SITE CLEANUP COSTS**. There is no coverage for any **business interruption loss** arising from any **pollution condition** that is not covered under **COVERAGE A – ON-SITE CLEANUP COSTS** or **COVERAGE B – OFF-SITE CLEANUP COSTS**.

Deductible period means the period of time that starts at the beginning of the **period of restoration** and ends after the time frame shown as the Deductible Period in the SCHEDULE above.

Extra expense means expenses you incurred during the **period of restoration** to avoid or minimize the **suspension** of **operations**, but only if:

- a. You would have not incurred those expenses had there not been **suspension** of your **operations** caused directly by the **covered pollution incident**; and
- b. Such expenses actually reduce a loss of **business income** that would otherwise be covered under this Coverage Part.

Extra expense includes rent expenses for your temporary rental of another building when a portion of a building occupied by you at the **covered location** becomes untenable due to the **covered pollution incident**, but such expenses shall not exceed the fair rental value of the untenable portion of such building at the **covered location**.

Operations mean your business activities occurring at a **covered location**, but only if you disclosed those business activities in any application, questionnaire or other materials or information submitted to us in writing by you or anyone acting on your behalf before the inception date of this Policy.

Period of restoration means the period of time shown in the SCHEDULE above that:

- a. Begins immediately upon the **suspension** of **operations**; and

b. Ends on the earlier of:

- 1) The date on which the **covered pollution incident** could be remediated to the minimum extent required to resume the insured's **operations** at the **covered location**;
- 2) The date on which the insured resumes business **operations** at another location;
- 3) The date on which the insured could have reasonably resumed business **operations** at the **covered location** or at another location;
- 4) The date of the exhaustion of the Limits of Insurance shown in the SCHEDULE above; or
- 5) The end of the time frame shown as the Period of Restoration in the SCHEDULE above.

Period of restoration does not include any increased period caused by:

- a. The enforcement of or compliance with any ordinance or law, including a delay in such enforcement or compliance, that:
 - 1) Regulates the construction, use or repair of any property, the tearing down of any property; or
 - 2) Requires updated emissions controls or safety features which were not part of the **covered location** prior to the **suspension**; or
- b. The interference by employees or other persons with restoring the **covered location**, or with the resumption or continuation of **operations**.

Suspension means the necessary cessation, whether partial or complete, of **operations**.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

COMMUNICABLE DISEASE FROM A DECLARED PANDEMIC EXCLUSION

This endorsement modifies coverage provided under the following:

ENVIRONMENTAL PREMISES LIABILITY COVERAGE FORM

A. The following exclusion is added to A. General Exclusions – Applicable to All Coverages of SECTION II – EXCLUSIONS:

This insurance does not apply to any:

Communicable Disease from a Declared Pandemic

Claim, loss, defense expenses, bodily injury, property damage, cleanup costs or emergency response costs arising out of any actual or alleged transmission of any **communicable disease** that is categorized as a pandemic by the World Health Organization, U.S. Centers for Disease Control and Prevention, or any other Canadian or U.S. governmental or quasi-governmental public health agency, entity or service.

This exclusion applies even if the allegations against any insured include negligence or other wrongdoing in the:

- a. Supervising, hiring, employing, training or monitoring of others that may be infected with and spread a communicable disease;
- b. Testing for a communicable disease;
- c. Failure to prevent the spread of the disease; or
- d. Failure to report the disease to authorities.

B. The following is added to the DEFINITIONS Section:

Communicable disease means any disease which can be transmitted by means of any substance or agent from any organism to another organism where:

- a. The substance or agent includes, but is not limited to, a virus, bacterium, parasite or other organism or any variation thereof, whether deemed living or not;
- b. The method of transmission, whether direct or indirect, includes but is not limited to, airborne transmission, bodily fluid transmission, transmission from or to any surface or object, solid, liquid or gas or between organisms; and
- c. The disease, substance or agent can cause or threaten **bodily injury**, emotional distress, damage to human health or human welfare, **property damage, cleanup costs or emergency response costs**.

All other terms and conditions remain the same.



Claims Reporting Options

On-line: onebeacon.com

24/7 web-based claim reporting. Claim reporter receives a submission number; claim is assigned and insured is contacted within 1-2 business days by the adjuster.

24/7 OneBeacon Claims Call Center: (877) 248-3455

24/7 OneBeacon Claims Call Center receives and processes all new claims. Claims phoned into the 24/7 OneBeacon Call Center before 5 p.m. EST will be immediately assigned a claim number. You can go to your agent portal the next business day to view the claims.

Email OneBeacon Claims Reporting: commercialloss@onebeacon.com

Required For Email Loss Reporting:

- **ACORD First Notice of Loss Forms:** See your agent portal, Agent Resources, Claim Resources for editable electronic versions of the approved ACORD notices, or email arohde@onebeacon.com to receive copies via email.
- Attachments supporting a claim can be included in the email transmission.
- Email only one complete claim transaction at a time.

For claims reported via the OneBeacon email system, the sender's email confirmation will serve as the acknowledgement of receipt.

24/7 OneBeacon Fax Claims Reporting

- Non-Workers' Compensation Claims: **(866) 213-2802**
- Workers' Compensation Claims: **(800) 224-4416**

For claims reported via fax to OneBeacon, the sender's fax receipt will serve as the confirmation of receipt.

Claims Information Available via the Agent Portal:

Producers can find information on all claims on the OneBeacon Agent Portal. After reporting a new loss, producers can confirm the claim number and the adjuster assigned, and later access the adjuster's file notes and review financial transactions. In addition, the OneBeacon Agent Portal enables producers to communicate directly with adjusters by e-mail. If you have any questions about how to access this valuable site, you can go to the Agent Portal for a step by step tutorial or contact arohde@onebeacon.com to schedule personal instruction.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

EXCLUSION OF CERTIFIED ACTS OF TERRORISM AND EXCLUSION OF OTHER ACTS OF TERRORISM COMMITTED OUTSIDE THE UNITED STATES

This endorsement modifies coverage provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART
CONTRACTORS ENVIRONMENTAL LIABILITY COVERAGE PART
PROFESSIONAL SERVICES LIABILITY COVERAGE PART
ENVIRONMENTAL PREMISES LIABILITY COVERAGE PART
PRODUCTS POLLUTION LIABILITY COVERAGE PART

1. The following is added to **GENERAL EXCLUSIONS (APPLICABLE TO ALL COVERAGES)** in **SECTION I - COVERAGES**:

This insurance does not apply to:

TERRORISM

Any injury or damage arising, directly or indirectly, out of a **certified act of terrorism** or out of an **other act of terrorism** that is committed outside of the United States (including its territories and possessions and Puerto Rico), but within the **coverage territory**. However, with respect to an **other act of terrorism**, this exclusion applies only when one or more of the following are attributed to such act:

- a. The total of insured damage to all types of property exceeds \$25,000,000 (valued in U.S. dollars). In determining whether the \$25,000,000 threshold is exceeded, we will include all insured damage sustained by property of all persons and entities affected by the terrorism and business interruption losses sustained by owners or occupants of the damaged property. For the purpose of this provision, insured damage means damage that is covered by any insurance plus damage that would be covered by any insurance but for the application of any terrorism exclusions; or
- b. Fifty or more persons sustain death or serious physical injury. For the purposes of this provision, serious physical injury means:
 - (1) Physical injury that involves a substantial risk of death; or
 - (2) Protracted and obvious physical disfigurement; or
 - (3) Protracted loss of or impairment of the function of a bodily member or organ; or
- c. The terrorism involves the use, release or escape of nuclear materials, or directly or indirectly results in nuclear reaction or radiation or radioactive contamination; or
- d. The terrorism is carried out by means of the dispersal or application of pathogenic or poisonous biological or chemical materials; or
- e. Pathogenic or poisonous biological or chemical materials are released, and it appears that one purpose of the terrorism was to release such materials.

With respect to this exclusion, Paragraphs **a.** and **b.** describe the thresholds used to measure the magnitude of an incident of an **other act of terrorism** and the circumstances in which the threshold will apply for the purpose of determining whether this exclusion will apply to that incident.

2. The following is added to **DEFINITIONS**:

- a. For the purposes of this endorsement, **any injury or damage** means any injury or damage covered under any Coverage Part or underlying insurance to which this endorsement is applicable, and includes but is not limited to **bodily injury, property damage, personal and advertising injury, environmental damage, professional services wrongful acts or cleanup costs** as may be defined in any applicable Coverage Part.
- b. **Certified act of terrorism** means an act that is certified by the Secretary of the Treasury, in accordance with the provisions of the federal Terrorism Risk Insurance Act, to be an act of terrorism pursuant to such Act. The criteria contained in the Terrorism Risk Insurance Act for a **certified act of terrorism** include the following:
 - (1) The act resulted in insured losses in excess of \$5 million in the aggregate, attributable to all types of insurance subject to the Terrorism Risk Insurance Act; and
 - (2) The act resulted in damage:
 - (a) Within the United States (including its territories and possessions and Puerto Rico); or
 - (b) Outside of the United States in the case of:
 - i. An air carrier (as defined in Section 40102 of title 49, United States Code) or United States flag vessel (or a vessel based principally in the United States, on which United States income tax is paid and whose insurance coverage is subject to regulation in the United States), regardless of where the loss occurs; or
 - ii. The premises of any United States mission; and
 - (3) The act is a violent act or an act that is dangerous to human life, property or infrastructure and is committed by an individual or individuals as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion.
- c. **Other act of terrorism** means a violent act or an act that is dangerous to human life, property or infrastructure that is committed by an individual or individuals and that appears to be part of an effort to coerce a civilian population or to influence the policy or affect the conduct of any government by coercion, and the act is not a **certified act of terrorism**.

Multiple incidents of an **other act of terrorism** which occur within a seventy-two hour period and appear to be carried out in concert or to have a related purpose or common leadership shall be considered to be one incident.

- 3. The terms and limitations of any terrorism exclusion, or the inapplicability or omission of a terrorism exclusion, do not serve to create coverage for injury or damage that is otherwise excluded under this Coverage Part.

All other terms and conditions remain the same.